

Wealth Strategy Snapshot: Educational Analysis

2026 Tax Year Planning

Prepared for Valerie Ann Hopkins | March 2026

Educational scenario modeling for discussion with licensed professionals

1 Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile. As a W-2 medical professional earning \$150–199K, age 61, filing Head of Household in Pennsylvania, this snapshot identifies a powerful combination of Roth positioning strategies, potential side-business deductions, and passive investment concepts that may meaningfully impact your long-term wealth trajectory and future tax exposure.

Across the strategies modeled, this snapshot illustrates potential first-year value ranging from **\$23,894** (conservative scenario — W-2 positioning only, limited capital deployment) to **\$206,041** (aggressive scenario including side-business establishment, HSA optimization, and real estate acquisition via home equity). Implementation of any strategy should be verified with your CPA and licensed financial advisor. All values shown are modeled estimates using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025.

 **SECURE 2.0 Alert (New for 2026):** Because your FICA wages exceed \$150,000, any 2026 catch-up contributions to your employer 401(k) **must be designated Roth**. At age 61, you qualify for the enhanced "super catch-up" of

\$11,250. This aligns with your stated goal of reducing future pre-tax 401(k) exposure. Discuss with your HR/benefits department and CPA immediately.

2 Current Financial Position

Personal & Income

Name	Valerie Ann Hopkins
Age	61 (super catch-up eligible: 60-63)
Filing Status	Head of Household
Dependents	0 (one adult child)
Location	Garnet Valley, PA (3.07% state tax)
Income Source	W-2 employee only (medical field)
W-2 Income	\$150,000 – \$199,000
Combined Marginal Rate	~27% (24% federal + 3.07% PA)

Assets & Liabilities

401(k) Balance	\$720,000 (pre-tax)
Home Value	\$645,000
Home Equity	\$100,000+ (significant)
Mortgage Payment	\$1,000/month
Liquid Savings	<\$5,000
Bitcoin Position	Small (<1% of portfolio)
Credit Score	760+
Debt	None (aside from mortgage)
Tax Owed	~\$5,000

Current Strategy Gaps Identified

AREA	CURRENT STATUS	POTENTIAL OPPORTUNITY
401(k)	Contributing, but not maxed	Super catch-up Roth \$11,250 (age 61); consider reducing pre-tax, increasing Roth
HSA	No HDHP — not eligible	Evaluate HDHP switch at next open enrollment → \$5,400 triple-tax benefit
Backdoor Roth IRA	Not utilizing	\$8,600/year (\$7,500 + \$1,100 catch-up) — no income limit
Business Entity	None	Side business would unlock Augusta Rule, home office, vehicle deductions
Vehicle	2024 Honda CRV Hybrid — 75%+ business use noted	With a business entity: ~\$8,156/year in deductions (72.5¢/mi × 11,250 mi)
Home Office	Could be set up	Requires business entity; simplified method = \$1,500/year deduction
Real Estate	Open to learning	Passive income potential via STR; \$100K+ equity may fund acquisition
Roth Conversion	Not started	\$720K pre-tax 401(k) creates significant RMD exposure at 73

Key Observation: Your \$720,000 pre-tax 401(k) is your largest asset and your largest future tax liability. At age 73, Required Minimum Distributions (RMDs) will force taxable withdrawals. Strategic Roth conversions and Roth-designated contributions starting now could substantially reduce that future tax burden. This is the single highest-impact area to discuss with your CPA.

3 Timeline Awareness & Implementation

Considerations (2026)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional before proceeding.

TIMEFRAME	ITEM
Week 1	2025 Backdoor Roth IRA: Up to \$8,000 (\$7,000 + \$1,000 catch-up) can still be contributed for tax year 2025 before April 15, 2026. Verify no existing traditional IRA balances (pro-rata rule). Discuss with CPA.
	401(k) Roth Super Catch-Up: Confirm your employer plan offers Roth 401(k) contributions and supports the SECURE 2.0 super catch-up provision (\$11,250 for ages 60-63). Contact HR/benefits to adjust contribution elections.
Week 2	W-4 Review: Request current withholding analysis from payroll. If over-withholding by \$200-\$300/month, adjusting the W-4 could increase take-home pay by \$2,400-\$3,600/year. This freed cash flow could fund investment deployment.
	Side Business Exploration: Consider medical consulting, health coaching, or administrative services. Even modest revenue (\$5-10K/year) unlocks 4+ tax strategies. Discuss entity structure (LLC vs. sole proprietorship) with CPA.
Week 3	HDHP Evaluation: Compare current health plan vs. High-Deductible Health Plan (HDHP) options for next open enrollment period. An HDHP would unlock HSA contributions of \$5,400/year (\$4,400 individual + \$1,000 catch-up at age 55+) with triple tax benefits.
	Brokerage Account: If not already established, opening a brokerage account is a prerequisite for investment deployment. No-fee options include Fidelity, Schwab, or Vanguard.

TIMEFRAME	ITEM
Week 4	Roth Conversion Planning: Request 401(k) plan documents — check if in-service distributions are permitted at age 59½+. If so, partial Roth conversions may begin in 2026 to manage future RMD exposure. Model conversion amounts with CPA to stay within current tax bracket.
	Home Equity Assessment: If considering real estate acquisition, explore HELOC terms and availability. Current equity of \$100K+ on \$645K property represents potential capital access. Discuss with financial advisor.

3.5 2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available The following 2025 contributions can still be made until April 15, 2026:			
STRATEGY	2025 LIMIT	DEADLINE	YOUR OPPORTUNITY
Backdoor Roth IRA	\$7,000 + \$1,000 catch-up = \$8,000	April 15, 2026	HIGH PRIORITY — Likely eligible. Verify no trad IRA balances (pro-rata rule). Up to \$8,000 in tax-free growth positioning.
HSA Contributions	\$4,300 individual + \$1,000 (55+) = \$5,300	April 15, 2026	Not applicable — No HDHP in 2025.
Solo 401(k) Employer Portion	25% of net SE income	Tax filing + extensions	Not applicable — No self-employment income in 2025.

STRATEGY	2025 LIMIT	DEADLINE	YOUR OPPORTUNITY
SEP IRA	25% of compensation, up to \$69,000	Tax filing + extensions	Not applicable — No self-employment income in 2025.

No Longer Available for 2025: 401(k) employee deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (Dec 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

4 2026 Tax Optimization Strategies to Explore

The following strategies are selected based on your income (\$150–199K), filing status (Head of Household), age (61), and employment structure (W-2). Each is presented educationally with potential value modeling at your ~27% combined marginal rate.

Strategy Concept: 401(k) Roth Super Catch-Up (SECURE 2.0)

HIGH PRIORITY

Potential Value: \$11,250 positioned tax-free annually

What It Is: SECURE 2.0 created an enhanced "super catch-up" for participants ages 60–63, allowing \$11,250 in additional 401(k) contributions (vs. \$8,000 standard catch-up). At your income level (\$150K+), this catch-up must be designated Roth. This directly addresses your concern about growing pre-tax 401(k) liability — every dollar contributed here grows tax-free and will not be subject to RMDs (after 2024 SECURE 2.0 provisions).

How It Works:

1. Contact HR/benefits to confirm Roth 401(k) and super catch-up availability
2. Adjust payroll contribution elections to include \$11,250 Roth catch-up
3. This is in addition to the standard \$24,500 employee deferral (which may remain pre-tax or be designated Roth — discuss with CPA)

Eligibility Criteria: Age 60–63 (you are 61 ✓), employer plan must offer Roth 401(k) and super catch-up provision, FICA wages \$150K+ in prior year requires Roth designation.

Verify plan provisions with your employer. Contribution limits are for 2026 per Rev. Proc. 2025-32. Discuss optimal pre-tax vs. Roth split with your CPA considering your \$720K pre-tax balance.

Strategy Concept: Backdoor Roth IRA HIGH PRIORITY

Potential Value: \$8,600 positioned tax-free annually

What It Is: A two-step process that allows high-income earners to contribute to a Roth IRA regardless of income limits. For 2026, the base limit is \$7,500 plus \$1,100 catch-up (age 50+) = \$8,600. After-tax contribution to a traditional IRA followed by immediate conversion to Roth. No income limit on conversion.

How It Works:

1. Contribute \$8,600 to a traditional IRA (non-deductible at your income level)
2. Convert the entire balance to a Roth IRA (typically within days)
3. File Form 8606 with your tax return documenting the non-deductible contribution

Eligibility Criteria: Must have earned income $\geq$ contribution amount. Critical: The pro-rata rule applies — if you have any existing pre-tax traditional IRA balances, conversions will be partially taxable. Verify you have \$0 in traditional IRA balances (your 401(k) is employer-sponsored and does not count). If you do have trad IRA balances, discuss alternatives with CPA.

Verify IRA balances and pro-rata rule applicability with your CPA. 2026 limits shown. Also consider making a 2025 contribution (\$8,000) before April 15, 2026.

Strategy Concept: Side Business Establishment HIGH PRIORITY

Potential Value: Unlocks \$4,000 – \$6,700+ in additional deductions

What It Is: Establishing a legitimate side business unlocks multiple tax strategies currently unavailable to W-2-only employees. Medical professionals commonly consult, provide health coaching, offer medical billing/admin services, or do expert witness work. Even modest revenue (\$5,000–\$10,000/year) creates access to Augusta Rule, home office, vehicle deductions, and potentially a Solo 401(k).

How It Works:

1. Identify a service aligned with existing skills (medical consulting is common)
2. Discuss entity structure with CPA (sole proprietorship is simplest to start; LLC for liability protection)
3. Obtain EIN from IRS (free, online, immediate)
4. Once established, Strategies 4–6 below become available

Eligibility Criteria: Must have genuine business purpose and activity. The IRS requires profit motive — keeping records, marketing materials, and client documentation is essential. You do not need to quit your W-2 job.

Business formation requirements vary by state. Discuss structure, licensing, and tax implications with your CPA and attorney before establishing. This is the gateway strategy that enables many others on this list.

Strategy Concept: Augusta Rule (IRC §280A)

MEDIUM — REQUIRES BUSINESS

Potential Value: \$1,890 – \$2,646 in tax savings (\$7,000 – \$9,800 tax-free income)

What It Is: Section 280A allows homeowners to rent their home for up to 14 days per year without reporting rental income. A business entity (Strategy 3) rents your home for legitimate business meetings, retreats, or work sessions. The business deducts the rental expense; you receive tax-free income. At your home value (\$645,000), fair market rental rates of \$500–\$700/day are supportable.

How It Works:

1. Establish legitimate business purpose for each rental day (board meetings, strategy sessions, training)
2. Document fair market rental rate with comparable short-term rentals in Garnet Valley area
3. Execute a written rental agreement between you and your business
4. Maintain records: dates, duration, business purpose, attendees, payment receipts

Eligibility Criteria: Own the home, have a business entity, ≤14 rental days/year, fair market rate documentation, legitimate business use.

Documentation is critical for audit defense. The IRS scrutinizes above-market rates and lack of business purpose. Verify implementation details with your CPA. 2026 tax year.

Strategy Concept: Home Office + Vehicle Deduction

MEDIUM — REQUIRES BUSINESS

Potential Value: \$405 – \$2,607 in combined tax savings

What It Is: With a business entity, a dedicated home office space qualifies for the simplified deduction (\$5/sq ft, max 300 sq ft = \$1,500). Your 2024 Honda CRV Hybrid (noted as 75%+ business use) qualifies for the 2026 mileage deduction at 72.5¢/mile. At an estimated 11,250 business miles: \$8,156 deduction × 27% = \$2,202 in potential tax savings.

How It Works:

1. Designate and maintain a dedicated home office space used regularly and exclusively for business
2. Track mileage using an app (MileIQ, Stride, or similar) — log date, destination, purpose, miles for every business trip
3. Simplified home office: \$1,500 deduction × 27% = \$405 tax savings
4. Vehicle: 11,250 miles × \$0.725 = \$8,156 deduction × 27% = \$2,202 tax savings

Eligibility Criteria: Home office must be "regular and exclusive" business use. Vehicle mileage must be contemporaneous (logged at time of travel). Commuting miles (home to W-2 job) do not count.

Mileage rate for 2026 is 72.5¢/mile. Actual vehicle miles will vary. W-2 employees cannot deduct these without a business. Verify with CPA.

Strategy Concept: HSA Maximization via HDHP Switch

MEDIUM — OPEN ENROLLMENT REQUIRED

Potential Value: \$1,458 tax savings + \$5,400 positioned tax-free

What It Is: A Health Savings Account (HSA) offers triple tax benefits: tax-deductible contributions, tax-free growth, and tax-free withdrawals for qualified medical expenses. For 2026, individual coverage allows \$4,400 plus \$1,000 catch-up (age 55+) = \$5,400. This requires enrollment in a High-Deductible Health Plan (HDHP). Given your concern about healthcare costs approaching retirement, an HSA can serve as a supplemental healthcare retirement fund.

How It Works:

1. Evaluate HDHP options during next open enrollment period at your employer
2. Compare total cost: higher deductible vs. tax savings ($\$5,400 \times 27\% = \$1,458/\text{year}$)
3. Contribute max and invest within the HSA for long-term growth
4. After age 65, HSA funds can be used for any purpose (taxed as income, like a trad IRA) or tax-free for medical

Eligibility Criteria: Must be enrolled in a qualifying HDHP. Cannot be enrolled in Medicare (Part A or B). Cannot be claimed as a dependent. For 2026, HDHP minimum deductible is \$1,700 individual / \$3,400 family.

HSA contribution limits are for 2026. Evaluate HDHP suitability for your healthcare needs — lower premiums but higher deductible. Discuss with your benefits administrator and CPA.

Strategy Concept: Roth Conversion Planning (\$720K Pre-Tax 401(k))

HIGH PRIORITY — LONG-TERM

Potential Value: Long-term — reduces future RMD tax burden by potentially \$100K+

What It Is: Converting pre-tax 401(k) funds to Roth (either via in-plan Roth conversion or rollover to Roth IRA) creates taxable income in the conversion year but positions those funds for tax-free growth and withdrawal. With \$720K in pre-tax retirement assets and RMDs beginning at age 73, strategic partial conversions over the next 12 years can significantly reduce forced taxable distributions. This also supports your goal of leaving a tax-free legacy for your daughter.

How It Works:

1. Determine if your employer 401(k) allows in-service distributions (eligible at 59½+)
2. If yes: Roll over portions to a traditional IRA, then convert to Roth IRA in managed annual amounts
3. If no: Begin Roth conversions upon separation from employer (retirement)
4. Target conversion amounts that fill remaining space in your current tax bracket to avoid jumping brackets

Eligibility Criteria: Must have pre-tax retirement assets. In-service distributions require plan provision and age 59½+. Conversions are taxable events — must have funds to pay tax without using converted funds.

Roth conversion strategy requires careful multi-year tax projection. This is your highest-impact long-term strategy. Work closely with your CPA to model optimal annual conversion amounts. Tax bracket management is critical.

Strategy Concept: W-4 Optimization QUICK WIN

Potential Value: \$2,400 – \$3,600/year freed cash flow

What It Is: Many W-2 employees over-withhold federal taxes, effectively giving the government an interest-free loan. Reviewing and adjusting your W-4 to match projected tax liability can free \$200–\$300/month in take-home pay. This additional cash flow can be redirected to Roth IRA contributions, investment deployment, or emergency fund building (your current savings are below \$5,000).

How It Works:

1. Review your most recent pay stub and compare YTD withholding to projected liability
2. Use the IRS Tax Withholding Estimator (irs.gov) for 2026 projections
3. Submit updated W-4 to payroll — changes typically take 1-2 pay periods

Eligibility Criteria: All W-2 employees. Particularly valuable if you received a large refund last year (indicating over-withholding).

Avoid under-withholding, which may trigger penalties. Target withholding within \$1,000 of actual liability. Discuss with your CPA.

5 Primary Strategy Education: Roth Positioning & Legacy Planning

Based on your profile and stated goals — retiring earlier if possible, leaving a tax-free legacy for your daughter, reducing future tax exposure, and generating passive income — the most impactful strategic theme is Roth Positioning. This section explains the concept in depth.

The \$720K Challenge: Understanding Pre-Tax Retirement Account Risk

The Math: At age 73, RMDs on a \$720K balance (assuming modest growth to ~\$900K+) could force \$35,000–\$40,000+ in annual taxable distributions. Combined with Social Security and any other income, this could push you into a higher tax bracket — potentially 32%+ — during retirement. This is the opposite of what most people expect.

SCENARIO	AGE 73 BALANCE (EST.)	FIRST-YEAR RMD (EST.)	TAX AT 24%	TAX AT 32%
No conversions (3% growth)	~\$1,020,000	~\$38,500	\$9,240	\$12,320
Convert \$50K/yr for 8 years	~\$620,000 (pre-tax portion)	~\$23,400	\$5,616	\$7,488
Convert \$75K/yr for 8 years	~\$420,000 (pre-tax portion)	~\$15,800	\$3,792	\$5,056

Estimates assume 3% annual growth, 2026 RMD tables, and no additional pre-tax contributions. Actual results will vary. Tax brackets may change. For illustration only.

Roth Positioning Toolkit (2026)

STRATEGY	2026 AMOUNT	TAX IMPACT	LEGACY BENEFIT
401(k) Roth Super Catch-Up	\$11,250/year	No deduction (Roth) — contributes post-tax	Grows tax-free; no RMDs for Roth 401(k) after 2024
Backdoor Roth IRA	\$8,600/year	No tax impact (non-deductible → convert)	Tax-free growth; no RMDs; passes tax-free to daughter
Roth Conversions	\$25K–\$75K/year (varies)	Taxable in conversion year	Reduces future RMDs; converted funds grow tax-free

STRATEGY	2026 AMOUNT	TAX IMPACT	LEGACY BENEFIT
HSA (via HDHP)	\$5,400/year	Tax-deductible; grows tax-free	Tax-free for medical; covers healthcare before Medicare at 65

Legacy Planning Note: Roth IRAs have no RMDs during your lifetime and pass to your daughter income-tax-free (she would need to distribute within 10 years under SECURE Act rules, but distributions are not taxable). This directly addresses your goal of a tax-free legacy. A \$100,000 Roth IRA inherited at your passing could be worth significantly more than \$100,000 in a pre-tax account, which would be fully taxable to your daughter.

Early Retirement & Healthcare Bridge

You expressed interest in retiring before 65 and concern about healthcare costs. Key considerations:

AGE	HEALTHCARE OPTION	FUNDING SOURCE
Pre-65	ACA Marketplace (income-based subsidies available)	Roth conversions can be managed to control MAGI for subsidy eligibility
Pre-65	COBRA (18 months from employer plan)	Expensive but maintains current coverage
65+	Medicare	HSA funds can pay premiums and expenses tax-free

Early retirement planning requires careful income projection to maintain ACA subsidy eligibility and manage Roth conversion taxation. This is an area where professional guidance from a fee-only financial planner is especially valuable. These scenarios are for educational illustration only.

6 Illustrative Portfolio Scenario

Based on your indicated moderate investment approach, passive income goals, limited time availability (<2 hours/week), and \$5,000–\$10,000 in deployable capital, this scenario models a balanced approach emphasizing passive income generation with growth potential.

Educational Investment Scenario (Based on Profile Analysis)

ASSET CLASS	SCENARIO %	CONSERVATIVE (\$7,500)	AGGRESSIVE (\$10,000)	EDUCATIONAL RATIONALE
Bitcoin	50%	\$3,750	\$5,000	Bitcoin serves as a wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption. At moderate risk tolerance, 50% balances growth potential with stability.
STRC	30%	\$2,250	\$3,000	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10–12% annual yield. Aligns with your primary goal of creating passive income. Verify current yield at time of investment.
VTI / VOO	20%	\$1,500	\$2,000	VTI (Vanguard Total Stock Market ETF) provides broad U.S. equity exposure at low cost

ASSET CLASS	SCENARIO %	CONSERVATIVE (\$7,500)	AGGRESSIVE (\$10,000)	EDUCATIONAL RATIONALE
				(0.03% expense ratio). VOO tracks the S&P 500. Commonly used for equity diversification and modest dividend income (1.5–2% yield).

Allocation Logic: Your moderate risk tolerance sets a balanced Bitcoin allocation at 50%. Your passive income focus emphasizes STRC at 30% for yield generation. Your limited time availability (<2 hours/week) favors entirely passive positions — no active trading or management required. Capital of \$5–10K is deployed across three positions for basic diversification.

***Important:** This scenario models one approach based on the moderate, passive-income-focused profile indicated. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency investments are highly volatile and speculative. Past performance does not guarantee future results. Historical yields (including STRC) are not guaranteed.*

7 Modeled First-Year Value Summary (2026 Tax Year)

Capital Deployment: Conservative = \$7,500 | Aggressive = \$10,000

Marginal Tax Rate: ~27% combined (24% federal + 3.07% PA)

CATEGORY	ITEM	CONSERVATIVE	AGGRESSIVE	NOTES
CATEGORY A: TAX OPTIMIZATION STRATEGIES				
Tax	Augusta Rule (14 days x	\$0	\$2,646	Requires business (aggressive only)

CATEGORY	ITEM	CONSERVATIVE	AGGRESSIVE	NOTES
	\$500–\$700 × 27%)			
Tax	Home Office (\$1,500 simplified × 27%)	\$0	\$405	Requires business entity
Tax	Vehicle (11,250 mi × \$0.725 × 27%)	\$0	\$2,202	2026 rate: 72.5¢/mile
Tax	HSA (\$5,400 × 27%)	\$0	\$1,458	Requires HDHP switch
Tax Optimization Subtotal		\$0	\$6,711	
CATEGORY B: INVESTMENT INCOME (YIELD / DIVIDENDS)				
Income	STRC Yield (\$2,250 × 10% / \$3,000 × 12%)	\$225	\$360	Verify current yield at time of investment
Income	ETF Dividends (\$1,500 × 1.5% / \$2,000 × 2%)	\$23	\$40	VTI/VOO dividend yield
Investment Income Subtotal		\$248	\$400	
CATEGORY C: INVESTMENT APPRECIATION (PROJECTED GROWTH)				
Growth	Bitcoin (\$3,750 × 25% / \$5,000 × 50%)	\$938	\$2,500	Highly volatile — not guaranteed

CATEGORY	ITEM	CONSERVATIVE	AGGRESSIVE	NOTES
Growth	STRC ($\$2,250 \times 15\%$ / $\$3,000 \times 30\%$)	\$338	\$900	Appreciation scenario
Growth	VTI/VOO ($\$1,500 \times 8\%$ / $\$2,000 \times 12\%$)	\$120	\$240	Broad market growth
Appreciation Subtotal		\$1,396	\$3,640	
CATEGORY D: REAL ESTATE (AGGRESSIVE SCENARIO ONLY)				
RE	STR Annual Cash Flow (NOI)	\$0	\$30,000	After expenses; market dependent
RE	Cost Segregation Tax Benefit (Year 1)	\$0	\$30,265	Building basis \$300K $\times 35\%$ reclass = \$105K bonus dep (100% OBBBA) + \$7,091 SL = \$112,091 $\times 27\%$
RE	Property Appreciation (~4.5%)	\$0	\$16,875	On \$375K property value
RE	Mortgage Principal Paydown (Year 1)	\$0	\$4,500	Equity build via amortization
Real Estate Subtotal		\$0	\$81,640	Conservative = no RE acquisition
CATEGORY E: CASH FLOW IMPROVEMENTS				

CATEGORY	ITEM	CONSERVATIVE	AGGRESSIVE	NOTES
Cash Flow	W-4 Optimization (\$200–\$300/mo × 12)	\$2,400	\$3,600	Redirect to Roth IRA / investments
Cash Flow Subtotal		\$2,400	\$3,600	
CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED)				
Wealth	401(k) Roth Super Catch-Up	\$11,250	\$11,250	Age 61 → \$11,250 (SECURE 2.0); must be Roth
Wealth	Backdoor Roth IRA (\$7,500 + \$1,100)	\$8,600	\$8,600	Tax-free growth positioning
Wealth	HSA Contributions	\$0	\$5,400	Requires HDHP; \$4,400 + \$1,000 catch-up
Wealth	Augusta Rule Income Received	\$0	\$9,800	Tax-free (under 14-day rule)
Wealth	RE Equity Position (down payment)	\$0	\$75,000	20% down on ~\$375K property via home equity
Wealth Building Subtotal		\$19,850	\$110,050	
TOTAL MODELED FIRST-YEAR VALUE (2026)		\$23,894	\$206,041	

Understanding the Scenarios:

Conservative (\$23,894): Reflects W-2-only positioning with no business entity changes. Focuses on Roth 401(k) super catch-up, Backdoor Roth IRA, W-4 optimization, and modest investment deployment of \$7,500. These strategies require minimal lifestyle changes and can be implemented quickly.

Aggressive (\$206,041): Includes establishing a side business (unlocking Augusta Rule, home office, vehicle deductions), switching to an HDHP for HSA access, and acquiring a short-term rental property via home equity. This represents a significant financial structure change and requires professional guidance, substantial planning, and comfort with real estate investment risk.

OBBBA Note (Cost Segregation): The cost segregation tax benefit above uses 100% bonus depreciation, which was permanently restored by the One Big Beautiful Bill Act (OBBBA), signed July 4, 2025, for qualified property acquired and placed in service after January 19, 2025. The calculation applies cost segregation reclassification to the building basis only (purchase price minus estimated land value of 20%), not to the full property value. This methodology follows IRS guidelines for depreciable basis.

***Disclaimer:** Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits per Rev. Proc. 2025-32; verify with your CPA. Consult with your licensed professionals before implementation.*

8 Calendar Awareness & Key Dates (2026)

DATE	ITEM	RELEVANCE TO YOUR PROFILE
April 15, 2026	Last day for 2025 IRA contributions	URGENT — Backdoor Roth IRA for 2025: up to \$8,000

DATE	ITEM	RELEVANCE TO YOUR PROFILE
ASAP (2026)	401(k) contribution election change	Switch/add Roth super catch-up \$11,250 with employer
ASAP (2026)	W-4 review and adjustment	Free up \$200–\$300/month in take-home pay
Open Enrollment	HDHP evaluation (employer-specific timing)	Prerequisite for HSA access (\$5,400/year)
Q2 2026	Side business exploration	Unlocks Augusta Rule, home office, vehicle deductions for 2026
December 31, 2026	401(k) employee contribution deadline	All 2026 employee deferrals must be made by payroll by this date
December 31, 2026	Solo 401(k) establishment (if applicable)	If side business established, plan must exist by year-end for employee deferrals
April 15, 2027	Last day for 2026 IRA/HSA contributions	Backdoor Roth IRA (\$8,600) and HSA (\$5,400 if eligible)

Verify all deadlines with your tax professional. Some deadlines may shift if they fall on weekends or holidays. Plan establishment and contribution deadlines have different rules — your CPA can clarify.

9 Questions for Your Professional Team

These questions are designed to help structure productive conversations with your professional advisors about the strategies explored in this snapshot.

Questions for Your CPA / Tax Professional

- **Roth Positioning:** "Based on my \$720K pre-tax 401(k), income, and age, what is the optimal annual Roth conversion amount to stay within my current bracket? Should I

begin conversions in 2026?"

- **SECURE 2.0:** "Does my employer plan support the super catch-up provision for ages 60-63 (\$11,250)? Since my FICA wages exceed \$150K, do my catch-up contributions need to be Roth for 2026?"
- **2025 Backdoor Roth:** "Can I still make a 2025 Backdoor Roth IRA contribution of \$8,000 before April 15? Do I have any traditional IRA balances that would trigger the pro-rata rule?"
- **Side Business:** "If I do consulting work (medical field), what entity structure makes sense — sole proprietorship or LLC? What are the minimum requirements for the IRS to recognize this as a legitimate business?"
- **Augusta Rule:** "If I establish a business, what documentation do I need to support \$500–\$700/day rental rate for my \$645K home under IRC §280A?"
- **W-4 Review:** "Am I currently over-withholding? Can we adjust my W-4 to increase take-home pay and redirect savings to Roth contributions?"
- **HSA:** "Would switching to an HDHP at my next open enrollment be beneficial given my healthcare usage patterns? What's the net savings after accounting for the higher deductible?"

Questions for a Financial Advisor

- **Early Retirement:** "Given my current assets (\$720K 401(k), \$645K home, minimal liquid savings), what would a realistic early retirement timeline look like? What savings rate do I need?"
- **Healthcare Bridge:** "If I retire before 65, what are the most cost-effective options for healthcare coverage? How do Roth conversions affect ACA subsidy eligibility?"
- **Legacy Planning:** "How should I structure accounts to maximize the tax-free inheritance for my daughter? Is a Roth IRA the best vehicle, or are there other options?"
- **Investment Deployment:** "Given my moderate risk tolerance and passive income goals, how should I think about deploying \$5–10K initially? What allocation makes sense for my time horizon?"

- **Real Estate:** "Is it feasible for me to acquire a short-term rental property using a HELOC on my home? What are the risks and what support structure would I need?"

Questions for an Attorney (If Forming a Business)

- "What is the simplest entity structure for a medical consulting side business in Pennsylvania?"
- "Do I need any special licenses or insurance to do healthcare consulting in PA?"
- "Should I update my estate plan to account for new assets (Roth IRAs, potential rental property)? How do I name my daughter as beneficiary most effectively?"

10 Professional Team Considerations

Implementing the strategies explored in this snapshot requires coordination across several professional disciplines. Below are the types of professionals to consider engaging.

PROFESSIONAL	ROLE IN STRATEGY IMPLEMENTATION	SELECTION CRITERIA
CPA / Tax Professional	Roth conversion modeling, 401(k) contribution optimization, business entity setup tax implications, Augusta Rule documentation, W-4 analysis, 2025 cleanup items	Experience with medical professionals, Roth conversion planning, and small business formation. Ask: "Have you advised clients on SECURE 2.0 super catch-up provisions?"
Fee-Only Financial Advisor	Early retirement modeling, investment allocation, healthcare bridge planning, legacy strategy coordination	Fee-only (not commission-based), fiduciary duty, experience with pre-retirees. Look for CFP® designation. Ask: "Do you have experience with early retirement healthcare planning?"

PROFESSIONAL	ROLE IN STRATEGY IMPLEMENTATION	SELECTION CRITERIA
Attorney	Business entity formation, estate planning updates, beneficiary designations, asset protection	PA-licensed, business formation experience. For estate planning: experience with Roth IRA beneficiary strategies under SECURE Act.
Real Estate Professional (if pursuing RE)	Market analysis, property identification, STR feasibility, property management	Experience with short-term rentals in target market. Understanding of cost segregation strategy coordination.

11 Milestone Considerations & Review Points

TIMEFRAME	MILESTONE	PURPOSE
30 Days	2025 Backdoor Roth IRA contributed (if eligible)	Capture 2025 opportunity before April 15 deadline
30 Days	401(k) Roth super catch-up election confirmed with employer	Begin \$11,250 Roth positioning for 2026
60 Days	W-4 optimized; 2026 Backdoor Roth IRA initiated	Free cash flow + Roth positioning
90 Days	CPA consultation completed; side business decision made	Determines which additional strategies are accessible
6 Months	Investment account established; initial deployment	Begin building passive income portfolio

TIMEFRAME	MILESTONE	PURPOSE
Open Enrollment	HDHP/HSA evaluation completed	Determine HSA eligibility for 2027 (or 2026 if mid-year switch available)
12 Months	Annual review: Roth conversion progress, investment performance, strategy refinement	Adjust for tax law changes, life changes, market conditions

These milestones are considerations for planning purposes. Actual timing should be determined in consultation with your professional team based on your circumstances.

12 Educational Resources

2026 Contribution Limits Reference

ACCOUNT TYPE	BASE LIMIT	CATCH-UP (50+)	SUPER CATCH-UP (60-63)	YOUR 2026 MAX
401(k) Employee Deferral	\$24,500	+\$8,000	+\$11,250	\$35,750 (age 61 → super)
401(k) Total (Empl + Employer)	\$72,000	+\$8,000	+\$11,250	\$83,250
HSA (Individual Coverage)	\$4,400	+\$1,000 (age 55+)		\$5,400
HSA (Family Coverage)	\$8,750	+\$1,000 (age 55+)		\$9,750
Traditional / Roth IRA	\$7,500	+\$1,100	N/A	\$8,600

Business mileage rate for 2026: 72.5¢/mile. Verify all limits at IRS.gov or with your tax professional.
Limits shown are for the 2026 tax year per Rev. Proc. 2025-32.

Key Concepts Referenced in This Snapshot

TERM	DEFINITION
Backdoor Roth IRA	A two-step process: non-deductible traditional IRA contribution followed by Roth conversion. Bypasses income limits on direct Roth contributions.
SECURE 2.0 Super Catch-Up	Ages 60-63 may contribute an additional \$11,250 (vs. standard \$8,000 catch-up) to employer-sponsored retirement plans starting in 2025.
Required Minimum Distributions (RMDs)	Mandatory annual withdrawals from pre-tax retirement accounts beginning at age 73. Taxed as ordinary income.
Pro-Rata Rule	When converting IRA funds to Roth, the IRS considers ALL traditional IRA balances — you cannot selectively convert only non-deductible contributions.
Augusta Rule (§280A)	Allows renting your home up to 14 days/year without reporting rental income. Business must pay fair market rent for legitimate business use.
Cost Segregation	Engineering study that reclassifies building components for accelerated depreciation. Under OBBBA (July 2025), 100% bonus depreciation is permanently available for qualifying property acquired after Jan 19, 2025, creating large Year 1 tax deductions on real estate.
HDHP / HSA	High-Deductible Health Plan paired with Health Savings Account. HSA offers triple tax benefit: deductible contributions, tax-free growth, tax-free qualified medical withdrawals.

TERM	DEFINITION
OBBBA	One Big Beautiful Bill Act, signed July 4, 2025. Made TCJA individual tax rates permanent, restored 100% bonus depreciation, raised SALT cap to \$40,000, expanded Section 179 to \$2.5M, and introduced a temporary \$6,000 senior deduction for age 65+.

Helpful IRS Resources

RESOURCE	TOPIC
IRS Publication 590-A	IRA contribution rules and limits
IRS Publication 590-B	IRA distribution rules (including Roth conversions)
IRS Publication 969	HSA rules, HDHP requirements
IRS Publication 587	Home office deduction
IRS Publication 463	Travel, gift, and vehicle expenses
IRS.gov/Individuals/Tax-Withholding-Estimator	W-4 optimization tool

For educational reference only. Tax laws and IRS publications are updated regularly. Always verify current rules with your CPA or at IRS.gov.

Important Disclaimers

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Not Tax Advice: Tax strategies discussed are educational explanations of how certain provisions work. Eligibility, implementation, and actual tax outcomes depend on your specific circumstances and must be verified by a qualified CPA or tax attorney before implementation.

Not Legal Advice: Entity structure, asset protection, and partnership discussions are educational. Consult a qualified attorney for legal guidance specific to your situation.

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Investment Risk Disclosure: All investments involve risk. Bitcoin and cryptocurrency investments are highly volatile and speculative. Real estate investments carry risks including market fluctuations, vacancy, and unexpected expenses. You could lose some or all of your invested capital.

Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of March 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating OBBBA provisions signed July 4, 2025 (including permanent 100% bonus depreciation, \$40,000 SALT cap, expanded Section 179, and permanent TCJA individual tax rates). Verify current rules with your tax professional.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

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